

MP1994V2 Milestone Tracker

Mortensen–Pissarides (1994) Lean replication

29 July 2026

Last completed milestone: M2 – Affine surplus and endogenous reservation cutoff – **COMPLETE – GREEN**

Next milestone: M3 – Continuation value, job destruction, and job creation – **NOT STARTED**

Source of truth. docs/milestone_tracker.md. Status vocabulary: NOT STARTED; IN PROGRESS; BLOCKED; READY FOR REVIEW; COMPLETE – GREEN; COMPLETE – AMBER; DEFERRED / OUTSIDE CORE LEAN. M0, M1, and M2 are complete and green. M3 has not started.

Milestone plan

The tracker uses one readable block per milestone instead of a dense landscape table. Each block contains the same fields as the Markdown table.

M0. Foundations and primitive value equilibrium

Status: **COMPLETE – GREEN**

Paper: Sections 2–3; equations (1)–(7)

Economic target: Primitives, layered assumptions, probability/matching definitions, and primitive value equilibrium.

Expected declarations: Primitives; four assumption bundles; `cdf`; meeting rates; `surplus`; `continuationTerm`; `ValueEquilibrium`

Adequacy grade: GREEN **Dependencies:** None

Blocker: None

Branch/commit or tag; last review; next action: `issue2`; completion commit; 2026-07-29 human mathematical/economic review; preserve the reviewed M0 interface while beginning M1 separately.

M1. Surplus Bellman equation

Status: **COMPLETE – GREEN**

Paper: Section 3, journal p. 401; equation (8)

Economic target: Derive equation (8) from equations (3)–(7).

Expected declarations: Continuation decomposition; `firm_share`; `surplus_flow_equation`; `surplus_bellman_of_probability`; `surplus_bellman`

Adequacy grade: GREEN **Dependencies:** M0 complete

Blocker: None

Branch/commit or tag; last review; next action: `issue2`; completion commit; 2026-07-29 human mathematical/economic review; preserve the reviewed conditional representation theorem.

M2. Affine surplus and endogenous reservation cutoff

Status: **COMPLETE – GREEN**

Paper: Section 3; reservation discussion and equation (12)

Economic target: Surplus difference theorem, strict monotonicity, unique endogenous reservation threshold, and equation (12).

Expected declarations: Surplus difference, affinity, strict monotonicity, zero uniqueness, reservation theorem

Adequacy grade: GREEN **Dependencies:** M1

Blocker: None

Branch/commit or tag; last review; next action: `issue2`; completion commit; 2026-07-29 human mathematical/economic review; preserve M2 interfaces and design the measure-form continuation identity for M3.

M3. Continuation value, job destruction, and job creation**Status:** NOT STARTED**Paper:** Section 3; equations (9), (10), and (13)**Economic target:** Measure-form continuation identity and derivation of job destruction and job creation.**Expected declarations:** Tail/positive-part identity; derived JD and JC theorems**Adequacy grade:** – **Dependencies:** M2**Blocker:** Measure-theoretic tail identity**Branch/commit or tag; last review; next action:** No branch/tag or review; specify atomless support and integrability hypotheses precisely.**M4. Reduced-equilibrium reconstruction and equivalence****Status:** NOT STARTED**Paper:** Section 3**Economic target:** Prove value equilibrium to reduced equilibrium and construct a value equilibrium from a reduced solution.**Expected declarations:** ReducedEquilibrium; forward map; converse constructor; equivalence**Adequacy grade:** – **Dependencies:** M3**Blocker:** Value reconstruction design**Branch/commit or tag; last review; next action:** No branch/tag or review; define reduced objects only after JD and JC are theorems.**M5. Existence and uniqueness of static equilibrium****Status:** NOT STARTED**Paper:** Section 3; Figure 1 and statement following equation (13)**Economic target:** Clarified existence theorem and uniqueness of (θ, ε_d) .**Expected declarations:** Existence; at-most-one; unique-equilibrium theorem with endpoint assumptions**Adequacy grade:** – **Dependencies:** M4**Blocker:** Paper omits endpoint conditions**Branch/commit or tag; last review; next action:** No branch/tag or review; state corrected continuity, range, and crossing hypotheses.**M6. Unemployment flow balance****Status:** NOT STARTED**Paper:** Section 3; equation (14)**Economic target:** Derive steady-state unemployment and define the full steady state.**Expected declarations:** Flow balance; unemployment identity; full steady-state structure**Adequacy grade:** – **Dependencies:** M4–M5**Blocker:** Static equilibrium foundation**Branch/commit or tag; last review; next action:** No branch/tag or review; introduce unemployment stocks only here.**M7. Global comparative statics****Status:** NOT STARTED**Paper:** Section 3**Economic target:** Order-theoretic comparative statics for p, b, λ, r, σ where possible without differentiability.**Expected declarations:** Parameter-order theorems; equilibrium order lemmas**Adequacy grade:** – **Dependencies:** M5**Blocker:** Global solution selection and parameter monotonicity**Branch/commit or tag; last review; next action:** No branch/tag or review; separate global monotone results from derivatives.

M8. Appendix derivative comparative statics**Status:** NOT STARTED**Paper:** Appendix; equations (A1)–(A12)**Economic target:** Differentiable equilibrium paths and derivative sign results.**Expected declarations:** Analytic assumption layer; Jacobian/implicit-path theorems**Adequacy grade:** – **Dependencies:** M5, M7**Blocker:** Differentiability and nondegenerate Jacobian**Branch/commit or tag; last review; next action:** No branch/tag or review; keep Appendix assumptions out of the core.**M9. Two-state anticipated cyclical shocks****Status:** NOT STARTED**Paper:** Section 4; equations (15)–(31)**Economic target:** Two-state surplus systems, cutoff ordering under explicit hypotheses, and impact asymmetry.**Expected declarations:** Two-state value system; ordering theorems; employment-measure impact results**Adequacy grade:** – **Dependencies:** M3–M6**Blocker:** Piecewise continuation and employment measure**Branch/commit or tag; last review; next action:** No branch/tag or review; begin with an explicit two-state process.**M10. Finite Markov equilibrium and employment accounting****Status:** NOT STARTED**Paper:** Analytical prelude to Section 5; equations (32)–(38)**Economic target:** Finite-state equilibrium representation, employment transition operator, creation/destruction accounting, and equation (38).**Expected declarations:** Finite kernel; transition operator; mass preservation; accounting identity**Adequacy grade:** – **Dependencies:** M6, M9**Blocker:** Finite-state interface and numerical-solver connection**Branch/commit or tag; last review; next action:** No branch/tag or review; prefer finite state before general measurable states.**NUM. Numerical simulation and calibration****Status:** DEFERRED / OUTSIDE CORE LEAN**Paper:** Section 5; equations (39)–(42), Tables I–II**Economic target:** External Python or Julia numerical replication; Lean only for exact accounting or certified residuals where useful.**Expected declarations:** External solver and optional Lean residual/accounting certificates**Adequacy grade:** – **Dependencies:** Analytical interfaces as needed**Blocker:** Numerical/empirical work is outside core Lean**Branch/commit or tag; last review; next action:** No branch/tag or review; define a reproducible calibration and residual protocol externally.

M0 acceptance checklist

- ☒ New module root is isolated from the legacy architecture.
- ☒ Primitive parameter structure exists.
- ☒ Economic assumptions are layered.
- ☒ Shock law is represented by a measure.
- ☒ CDF is derived from the measure.
- ☒ Matching rates are defined.
- ☒ Surplus is defined from J, W, U , not stored independently.
- ☒ Equations (1)–(7) are represented faithfully.
- ☒ Equations (5) and (6) use one shared continuation term.
- ☒ No cutoff or reduced-equilibrium conclusion is assumed.
- ☒ Targeted builds pass.
- ☒ Full build passes.
- ☒ No **sorry**, **admit**, or custom axioms exist.
- ☒ Tracker TeX compiles and PDF has been visually inspected.
- ☒ Human mathematical/economic review is complete.

M1 acceptance checklist

- ☒ Generic continuation decomposition is proved under a probability measure.
- ☒ Firm surplus share is derived from equations (3) and (4).
- ☒ The surplus flow equation is derived from equations (5)–(7).
- ☒ Equation (8) is proved for the actual equilibrium surplus.
- ☒ The main theorem uses only probability normalization and existing integrability.
- ☒ The **ShockAssumptions** wrapper installs the probability instance locally.
- ☒ No M0 structure was strengthened or modified.
- ☒ No cutoff, affine surplus, or reduced equilibrium was introduced.
- ☒ Targeted builds pass.
- ☒ Full build passes.
- ☒ No **sorry**, **admit**, or custom axioms exist.
- ☒ Proof ledger TeX/PDF compiles and passes visual inspection.
- ☒ Milestone tracker TeX/PDF compiles and passes visual inspection.
- ☒ Human mathematical/economic review is complete.

M2 acceptance checklist

- ☒ Equation (8) is subtracted at two states.
- ☒ The scaled two-point surplus identity is proved.
- ☒ The divided affine-surplus identity is proved.
- ☒ Surplus is proved strictly increasing.
- ☒ The cutoff is defined from actual equilibrium surplus.
- ☒ The cutoff is proved to be a surplus zero.
- ☒ The zero is proved unique.
- ☒ $V = 0$ is derived from free entry and $r > 0$.
- ☒ $q(\theta)J(\varepsilon_u) = c$ follows from (1)–(2).
- ☒ $J(\varepsilon_u) > 0$ is proved.
- ☒ $S(\varepsilon_u) > 0$ is proved.
- ☒ $\varepsilon_d < \varepsilon_u$ is proved.
- ☒ Equation (12) is proved.
- ☒ Surplus signs are characterized relative to ε_d .
- ☒ Firm-value signs are characterized relative to ε_d .
- ☒ Active surplus is rewritten as a scaled positive part.
- ☒ No M0 or M1 mathematical declaration was changed.
- ☒ No M3 or later theorem was introduced.
- ☒ Targeted builds pass.
- ☒ Full build passes.
- ☒ No `sorry`, `admit`, or custom axioms exist.
- ☒ Proof-ledger PDF compiles and passes visual inspection.
- ☒ Tracker PDF compiles and passes visual inspection.
- ☒ Human mathematical/economic review is complete.

Changelog

2026-07-29 – M2 review completed. Review confirmed that equation (8) was correctly subtracted at two states and that actual equilibrium surplus is affine and strictly increasing. The derived `reservationCutoff` is its uniquely identified zero; equations (1)–(2) establish $\varepsilon_d < \varepsilon_u$; and equation (12) and the reservation rule are proved. M2 remains conditional on an existing `ValueEquilibrium` and was graded **COMPLETE – GREEN**.

2026-07-29 – M2 affine surplus and cutoff implemented. Created `SteadyState/AffineSurplus.lean` and `SteadyState/Cutoff.lean`. Subtracting equation (8) gives affine surplus and strict monotonicity. The derived cutoff is the unique surplus zero; equations (1)–(2), positive vacancy cost and meeting, and $\beta < 1$ separately place it below ε_u . Added equation (12), reservation sign rules, the active-surplus bridge, and the M2 capstone. M2 is **READY FOR REVIEW**.

Review-archive convention. Beginning with M3, project-local review archives are named `review_m3.zip`, `review_m4.zip`, and so on. They remain untracked and are never committed.

2026-07-29 – M1 review completed. Human mathematical and economic review found equation (8) mathematically faithful to the paper and its proof non-circular. It is derived from equations (3)–(7), uses the actual equilibrium surplus, and assumes no cutoff, affinity result, or reduced equilibrium. It is a conditional representation theorem for an existing `ValueEquilibrium`; M1 does not prove equilibrium existence. M1 was graded **COMPLETE – GREEN**.

2026-07-29 – M1 equation (8) implemented. Created `MP1994V2/SteadyState/Surplus.lean` with the continuation decomposition, firm share, surplus flow equation, minimal probability theorem, and `ShockAssumptions` wrapper. Updated `All`, `Audit`, `README`, trackers, and added the proof ledger. M1 is **READY FOR REVIEW**.

2026-07-29 – M0 review completed. Review found equations (1)–(7) economically faithful and no future conclusion embedded; corrected substantive modules $\rightarrow$ `All` $\rightarrow$ `Audit`; required explicit `ShockAssumptions P` and local `D.isProbability` in M1; graded **COMPLETE – GREEN**.

2026-07-29 – v2 foundation created. Added `Definitions`, `Assumptions`, `Probability`, `Matching`, `Equilibrium/Value`, `All`, `Audit`, `README`, and synchronized trackers: primitives, four assumption bundles, CDF/support/matching notation, shared surplus/continuation, `ValueCandidate`, and `ValueEquilibrium`. No legacy v1 Lean or architecture file changed; the library-root import makes `lake build` certify `MP1994V2.All`.